



■ **Macho Rupee:** Exporters want the Government to intervene, but the rupee is likely to strengthen. Early indicators suggest it could firm up closer to Rs 38 a dollar.

■ **Sop Parade:** With both the Congress and the Left desperate to woo voters, Budget 2008 could see a spate of populist 'initiatives' aimed at vote banks, couched as 'inclusive' measures.



■ **Car Wars:** With Tata Motors and Bajaj-Nissan-Renault in the Rs 1 lakh-car race, GM and Toyota are promising that they won't be left out of the action either. The luxury segment will also vroom with new offerings to snare the aficionados of \$1,00,000+ cars.



■ **Really Check:** Vaulting valuations in property and rocketing rentals are emerging as a major impediment to growth in the near term for new and expanding businesses.



It is this confidence that is spurring Indian companies to acquire others, upgrade capacities and conquer markets. The Tatas are a case in point. Close on the heels of the Corus deal, they are now poised to acquire luxury car brands Jaguar and Land Rover from Ford. And the strategy is not just about takeovers, but product innovation too. This month, representatives of five of the biggest auto-makers in the world will be in India to witness the launch of the \$2,500 small car by Ratan Tata, which is much an engineering marvel as a business strategy.

bought 1.4 million cars and 12 million television sets. The stunner though is the nearly 8 million mobile connections sold every month in 2007.

What is important to recognise is that the India growth story is continental in nature; it has never been homogeneous. Yes, there is concern that the benefits of growth are not percolating uniformly but that is a result of the asymmetry in the economy. Those with skills do benefit. TCS, for instance, now employs one lakh professionals. In a visual sense, the growth has been amoebic—in spurts across sectors, segments and geographic locales. Each year of high growth has thrown up new theories whereas the truth is that given the asymmetry in the economy, growth is bound to be continental and uneven. The view changes with every twist of the kaleidoscope.

The Chak De moment is also a good time for introspection. Last week, Chidambaram said the economy had grown at an average 8.6 per cent rate for five years. It is impressive, no doubt. But the current model of hope, surprise and default growth is not sustainable. It is too urban. Unless political parties wake up to the benefits of organised retail in terms of creating value and jobs, and curbing wastage, rural India will continue to suffer. Unless India invests in social and physical infrastructure, growth will be patchy and non-inclusive. As of now, the boom is a private enterprise but it requires government participation—that is reforms both in the states and at the Centre, to make it lasting. India cannot afford to be a flyover economy where entrepreneurs overcome public problems with private solutions and even profit from it. Unless political forces recognise this, growth could be stalled much like the traffic at the bottom of the flyover.

## Growth in India has survived politics. A virtuous cycle of consumption, savings, investments and returns is driving the momentum.

India Inc's optimism is again backed by a numerical story. Cost and product innovation are driving sales with ideas like the Rs 777 Reliance Mobile package or 21-inch television sets being sold at less than Rs 5,000. Thanks to restructuring, global exposure, capacity addition, technological upgradation and deeper pockets, companies are able to react faster to any situation. If they had used exports to get over a dip in domestic sales, 2007 saw them using lower dollar prices to upgrade and change the input matrix. It is not surprising then that despite rising interest rates and a tougher EMI environment, Indians